despite their slim profit margins. He also purchased a winery. Shareholders bitterly opposed this move, arguing that Coca-Cola should not be associated with alcohol. To deflect criticism, Austin directed unprecedented amounts of money for advertising campaigns.

Meanwhile Coca-Cola earned 20 percent on equity, but pretax margins were slipping. The market value of the company at the end of the bear market of 1974 was $3.1 billion. Six years later, that value had increased to $4.1 billion. In other words, from 1974 to 1980, the company's market value increased at an average annual rate of 5.6 percent, significantly underperforming the S&P 500 index. For every dollar the company retained in those six years, it created only $1.02 in market value.

Coca-Cola's corporate woes were exacerbated by Austin's intimidating and unapproachable behavior.[26] To make matters worse, his wife, Jeane, was a disruptive influence within the company. She redecorated corporate headquarters with modern art, shunning the company's classic Norman Rockwell paintings and even using a corporate jet for her art-buying trips. But it was her last order that contributed to her husband's downfall.

In May 1980, Mrs. Austin ordered the company's park closed to employee luncheons. Their food droppings, she complained, attracted pigeons on the well-manicured lawns. Employee morale hit an all-time low. Robert Woodruff, the company's 91-year-old patriarch, who had led Coca-Cola from 1923 until 1955 and was still chairman of the board's finance committee, had heard enough. He demanded Austin's resignation and replaced him with Roberto Goizueta.

Goizueta, raised in Cuba, was Coca-Cola's first foreign chief executive officer. He was as outgoing as Austin was reticent. One of his first acts was to bring together Coca-Cola's top 50 managers for a meeting in Palm Springs, California. "Tell me what we're doing wrong," he said. "I want to know it all and once it is settled, I want 100 percent loyalty. If anyone is not happy, we will make you a good settlement and say goodbye."[27] From this meeting evolved the company's "Strategy for the 1980s," a 900-word pamphlet outlining the corporate goals for Coca-Cola.

Goizueta encouraged his managers to take intelligent risks. He wanted Coca-Cola to initiate action rather than to be reactive. He began by cutting costs, and he demanded that any business that Coca-Cola owned must